Environmental Protection Agency

One-page brief

Priority: 15 of 33 (score 3.1). **FY2026 outlays:** $17B (USAspending). **As of:** 2026-10-27. Public data only.

Bottom line

EPA spends mainly through grants: state revolving funds for water, and the large 2022 Inflation Reduction Act programs. Its biggest such program, the $20B Greenhouse Gas Reduction Fund, became a political fight over alleged fraud. EPA terminated the grants, and the full D.C. Circuit ruled on 2026-08-04 that it likely did so unlawfully. A neutral, evidence-based screen of EPA grantees and subgrantees would be useful to either side, but the topic is politically charged and needs careful framing.

Exposure

- $17B in outlays and $57B in budgetary resources in FY2026, much of it multi-year grant money.
- Risks: pass-through subgrants to new nonprofits, unsupported costs, and contractors on revolving-fund projects.
- EPA does not report a high-risk improper payment program.

Public data we can use

- **USAspending grants and subawards** for EPA programs.
- **State revolving fund project lists** (published by states).
- **SAM.gov** entities and exclusions; IRS Form 990 data for nonprofit grantees; EPA OIG reports.

Detection plays

1. **New-nonprofit grantees:** recipients formed shortly before award, with little revenue history on Form 990, receiving large sums.
2. **Subgrant chains:** money that passes through several entities with shared officers before reaching a project.
3. **Contractor screen** on revolving-fund construction.

First prototype

A grantee profile for EPA's largest recent grant programs joining USAspending, SAM.gov and Form 990 data, with facts only and no fraud labels.

Limits

Litigation and politics make "fraud" claims sensitive; present findings as risk indicators. Subaward reporting is incomplete.

Who to take it to

EPA Office of Grants and Debarment, EPA OIG.

Sources

- AP via KSAT: appeals court rules EPA wrongly terminated $20B fund (Aug 2026)
- USAspending agency profiles (FY2026 outlays)

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